

5 September 2026

Dear Editor,

We submit “Investment concentration and financing in the AI boom” for consideration at *Economics Letters*.

The paper’s contribution is an aggregation result. Financing conditions observed at the project margin need not characterise an investment-weighted aggregate when investment is concentrated, because such an aggregate places greatest weight on its largest incremental investors. Among the 500 largest U.S. public companies, incremental operating cash flow covers 117% of the 2022–2025 investment increase at the five largest investors and 102% at the top ten—which account for 52.8% of the increase—but –61% across the remaining 213 firms.

What we believe is new is the historically unusual alignment between investment concentration and internal financing in the current boom. The 2018–2021 window was more concentrated at the top than the current one—41.9% of its increase occurred at the five largest investors, compared with 38.9% in 2022–2025—yet its tail was the best-covered group, as it was in 2014–2017. Concentrated investment booms are therefore not internally financed booms as a rule; what is unusual about the present episode is that the two coincide.

The pattern also survives sector exclusions: classifying registrants by the SIC code in their own filings and dropping regulated, extractive and financial firms leaves the gradient intact and steeper. All estimates are constructed from public sources—the SEC’s XBRL *frames* interface, SEC EDGAR filings, and BLS series WPUFD41312—and the full replication archive, which regenerates every reported number and verifies the manuscript against it in one command, is deposited on Zenodo (<https://doi.org/10.5281/zenodo.22392416>) and accompanies the submission.

Thank you for considering the paper.

Sincerely,

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